



Philippine Normal University
LICENSURE EXAMINATION FOR TEACHERS (LET)
Refresher Course

WHAT TO EXPECT

GENERAL EDUCATION

Area: Social Science

Focus: ECONOMICS AND OTHER RELATED LAWS

LET Competencies:

1. Comprehend the basic concept about economics, taxation, land reform, and cooperatives
2. Appreciate the fundamental precepts of taxation, the laws on land reform and its application
3. Apply these fundamental precepts to the cooperative movement as viewed within the Philippine context

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PART I: CONTENT UPDATE



I. ECONOMICS

General Principles

- Is the study that deals with how scarce resources are allocated to maximize the unlimited wants that individuals and societies want to fulfill. (Hashim Ali)
- Is the study of how societies choose to use the scarce productive resources that have alternative uses, to produce commodities of various kinds, and to distribute them among different groups. (Samuelson)

WHAT IS ECONOMICS ALL ABOUT?

1. Wants are for both present and future consumption. Human wants are *unlimited*. We want bungalows, cars, etc. Some wants are more important than others. Food is more important than toys. Some wants are more easily satisfied than others, e.g. the demand for erasers and pencils compared to video cameras, personal computers, etc.
2. Our wants are unlimited but we have the *problem of scarcity* in:
 - (a) Natural Resources
 - (b) Time and Energy
 - (c) Monetary Problems or Financial Constraint
 - (d) Factors of Production (i.e. land, labor, capital and entrepreneurship)
3. As our wants are unlimited and innumerable while our resources for satisfying them are limited and scarce, not all our wants can be satisfied. Hence, a *choice has to be made*. We will choose the wants that will satisfy us the most. In other words, we each have our own scale of preferences.
4. Related to *choice* is the concept of *Opportunity Cost*. Opportunity Cost can be defined as the next best alternative forgone, i.e. something which must be sacrificed in order to

obtain something else. For example, between a basketball championship game and a lecture, the opportunity cost of going for a lecture is a basketball game and vice versa. Opportunity cost can also be defined as the *real cost* of the good.

5. Examples of opportunity costs for the individual:
 - (a) work or leisure
 - (b) present consumption or savings
 - (c) revising for a test or playing games
6. Examples of opportunity cost for the producer:
 - (d) labor or capital
 - (e) Site A or Site B
7. Examples of opportunity costs for the government
 - (f) military goods or civilian goods
 - (g) guns or butter

OPPORTUNITY COST (PROBLEM SET)

Example 1.1(a)

Desmond pays P 1.00 for raffle ticket in which the first prize is a trip to London by the Singapore Airlines. The regular prize for the trip is P3,000 but the organizers offering a cash sum of P 2,000 to the winner as an alternative to the trip itself. If Desmond wins the raffle, what will be his opportunity cost if he decides to go on the trip?
Answer: P 2,000 (the next best alternative)

Example 1.1(b)

The workers in the factory currently earn P 120 each for a 39-hour week. The management offers them a choice between a straight 10 per cent wage increase or an increase in the weekly wage to P125.00 coupled with a reduction in hours from 39 to 37 hours. What is the opportunity cost to each worker of opting for the 37-hour week?
Answer: P 7.00 [the 10 per cent wage increase (P 12.00) which has to be forgone minus the additional wage increase (P 5.00)]

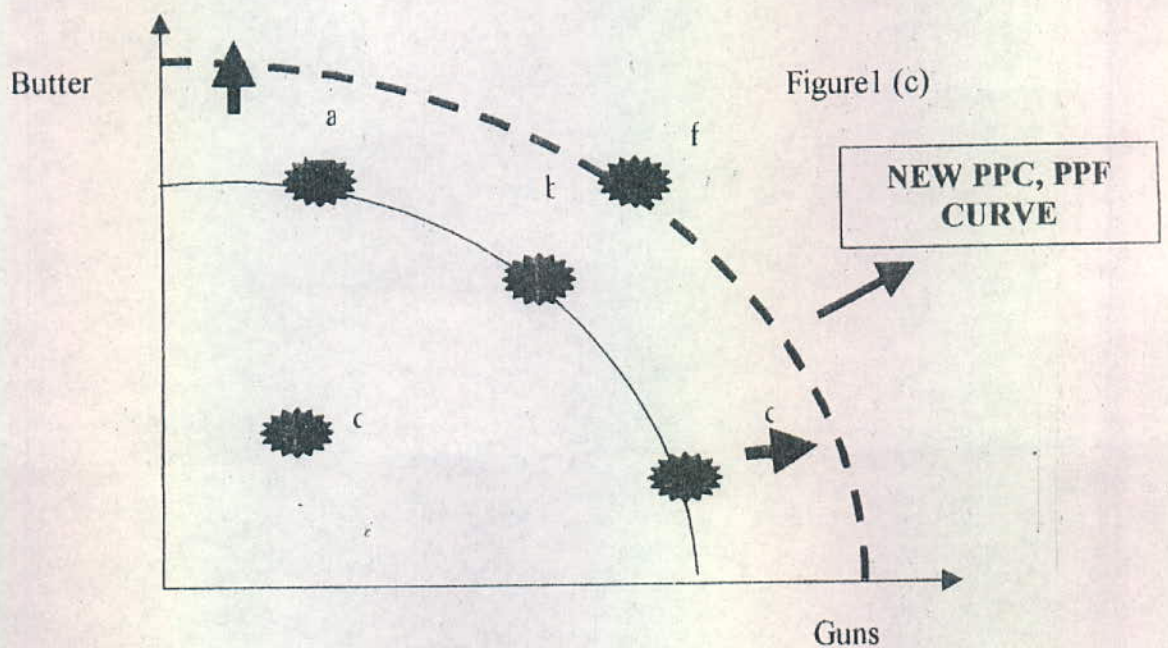
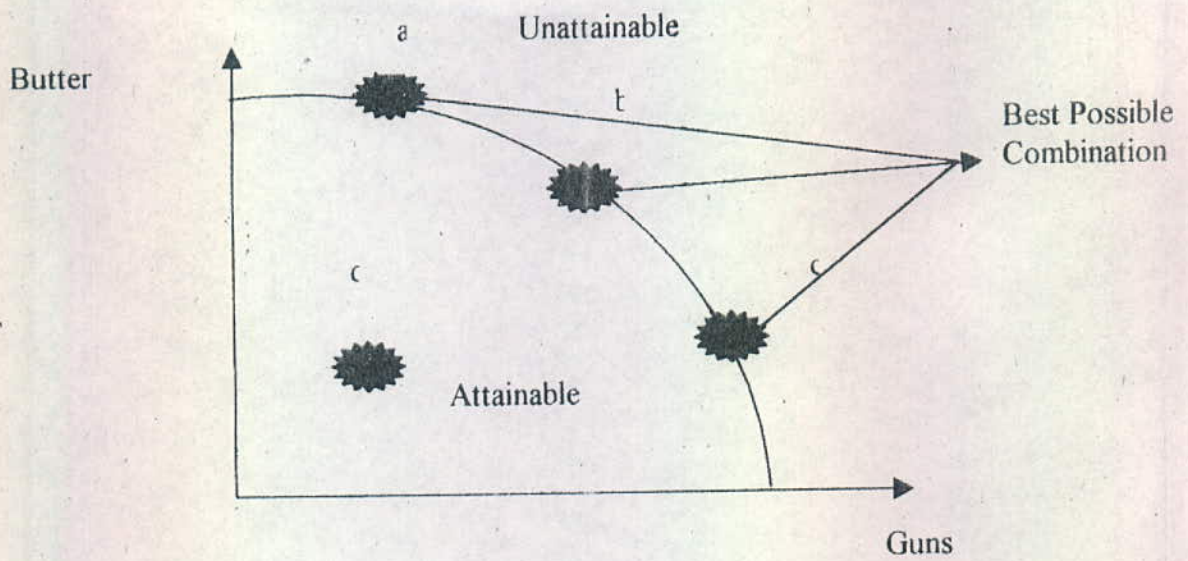
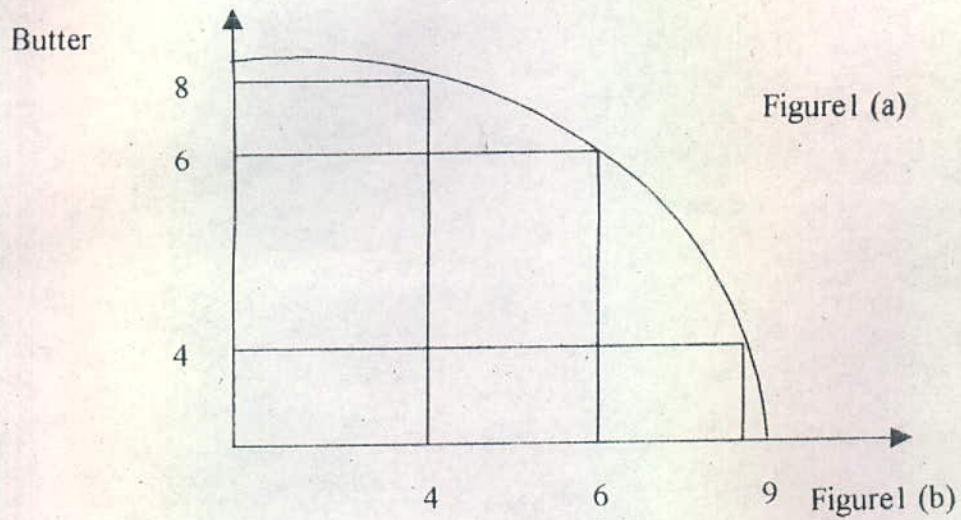
For the government, the concept of the opportunity cost can be illustrated by the *Production Possibility Curve* (PPC), the *Production Possibility Boundary* (PPB) or the (PPF). These can explain the three concept mentioned above, i.e. wants, scarcity and choice.

THE PRODUCTION POSSIBILITY CURVE (PPC)

1. The *Production Possibility Curve* can be defined as a curve which shows the various possible combinations of two goods. In this case, butter and guns, that the economy can produce given a limited amount of resources and a certain level of technology. As illustrated in Figure 1 (a), the various possible combination are:

2.

Butter	Guns
2	9
6	6
8	4



With reference to Figure 1 (b), the best possible combinations are a, b and c where resource are fully utilized and the country is said to be at full employment level. The country is also said to be efficient (i.e. there is no wastage in the use of the resources). The economy is at the point of *pareto optimality* where no one can be better off without someone

being worse off. Point *d* can also be chosen because it is attainable, but the economy is not efficient and the resources are not fully utilized or optimally used. In other words, *unemployment* exists. (Unemployment is the condition of the economy in which some available resources are not being used in the production of goods and services.)

With reference to *Figure 1 (c)*, point *e* is not attainable because it lies outside the *Production Possibility Curve*. However, there are three factors which enable point *e* to be reached:

- a) An increase or improvement in technology;
- b) The employment of migrant workers (i.e. an increase in the labor force); and
- c) An increase in population (productive population).

ECONOMIC SYSTEMS

There are three types of systems

1. **Capitalist system.** This is also known as *laissez-faire*, market economy free enterprise, price mechanism, or free market economy;
2. **Command economy.** This is also known as planned economy, communist system, centrally planned system, controlled economy, or totalitarian economy;
3. **Mixed economy or regulated market economy.**

The Capital System

Characteristics

(E.g. USA, Canada, Japan and West Germany)

1. **No government intervention** in the economic activities of the economy. All economic activities are carried out by the private sector (e.g. television station and telephone services.)
2. **Existence of consumer sovereignty.** Consumers are the ones who would determine and influence the types of qualities of good to be produced. In other words, consumers' decisions would influence the producers' decisions of what to produce. The consumer is said to be the "king".
3. **Mobility of labor.** These are both *geographical* as well as *occupational* mobility of labor. Geographical mobility of labor means that workers or the labor force can move from one place to another. Occupational mobility means that the workers or the labor force can shift from one occupation to another or from one form of mobility, there are *horizontal* and *vertical occupational mobilities*. The former (i.e. horizontal) means the shift to another job requiring the same skills, and the latter (i.e. vertical) means the shift to another job requiring different skills.
4. **Right to own property.** The government cannot confiscate individual property. Both consumers and producers can buy land and other goods in capitalistic system.
5. **Presence of competition.** Competition is healthy as it *encourages research and development*. Invention and innovation are made possible with science and technology. With the existence of such elements, economic growth can be achieved. Producers will keep on improving their techniques of production in order to compete with other firms.
6. **Profit motivation.** Businessmen produce in order to maximize profits. As long as there is demand for the product, they will keep producing. Businessmen are not bothered by ethical codes as their main interest is profits. There is business freedom in a capitalist society.
7. **Wide gap between the rich and the poor.** Because of the policy of non-intervention by the government, the rich (who are normally the producers) will get richer while the poor get poorer. This will result in a *pyramid shape income distribution pattern* in the economy.

8. **Existence of unemployment.** As the economy is governed by the "invisible hands" (demand and supply), there is usually a disparity between the demand and supply. If the supply of the labor is greater than the demand for the workers, unemployment will occur. This point clearly explains the high unemployment rate in most capitalist states.
9. **Misallocation of resources.** As producers are only motivated by profits, they will cater to the needs of the rich consumers. This will result in the over-production of certain goods. The requirements of the poor are not provided for, resulting in the under-production of certain goods.
10. **Shortage of manual labor.** People tend to stay away from blue-collar jobs that require manual operation and technical skills. To solve this problem, producers would have to recruit *migrant workers* from other countries like Asia, Latin America and Africa. However, this will entail problems like housing, increase crime rates, etc. which would have to be attended to.

The Centrally Planned Economy

Characteristics

(e.g. North Korea, Cuba, China)

1. **Everything is controlled by the government** and there is *no private sector*. The three basic economic problems will be solved by the government.
2. **Consumer's sovereignty does not exist in the communist system.** Consumers have *no choice* but to accept all the decisions made by the government or the central authorities.
3. **Due to absence of competition, complacency sets in.** This explains the slower rate of development in terms of research and development. Most countries which are centrally planned are technologically inferior, compared to the capitalist system.
4. **Theoretically, unemployment does not exist in a communist economy,** because every potential worker available will be given a job by the government. However, in practice, this is not possible because of scarce resources. The government will not be able to provide job opportunities for everyone. This explains the unemployment problems in China.
5. **Theoretically, in a planned economy, there is no difference between the rich and the poor.** It is considered a *classes society* (i.e. there is no distinction between the haves and the have nots). However, in practice, there is still a gap between the two groups although the gap is not as apparent as in a capitalist system.
6. **There is no business freedom in a communist system.** Private enterprise does not exist at all economic organizations are run by the government.
7. **One of the demerits of this system is that the government may produce goods that not required by the public.** These goods do not contribute to the general welfare of the consumers (e.g. military and space equipment in the North Korea).

The Mixed Economy

Note that, *in reality, all economies are, to some extent, mixed*. It is just a matter of degree of intervention. The United States is theoretically a capitalist economy but in reality, 10 per cent of its economic activities are carried out by the government. As for China, it is theoretically a communist economy. Yet, there are now private enterprises in China. Hence, in the real world, all economies are, to some extent, mixed.

Characteristics:

(e.g. Malaysia, Singapore, Britain)

1. **There are both public and private sectors working hand in hand so as ensure economic growth of the country.**
2. **The role of the public sector is not to compete with but to compliment the private sector** by providing the *infrastructure* so that economic activities can be carried out effectively and efficiently.

3. The government will not intervene in all matter but only in particular industries, where:
 - (a) The *initial costs* or the fixed costs are *too exorbitant* for the private sector to undertake, for example the MRT in Singapore.
 - (b) It is *not profitable sector* since the main aim of private enterprises is to maximize profits (e.g. low-cost public housing undertaken by the government will not be profitable for the private firms).
 - (c) It involves the *provision of social services* —such services must be provided by the government so as to increase the general living standard of the people (e.g. education, hospital, construction, etc.).
 - (d) *Duplication is to be avoided* and hence wastage of resources which are scarce. This is when only a single producer is necessary to undertake certain economic activities to avoid unnecessary competition, (e.g. Singapore Power in Singapore).
 - (e) *Strategic or military reasons* are involved. A country will try to be as self-sufficient as possible in terms of good production and military equipment.
 - (f) *Humanitarian reasons* are involve, if all economic activities are to cater to the rich, then none would cater to the needs of the poor and those living in remote, rural areas (e.g. Singapore Power in SingTel cater to both the rich and the poor).
4. In a mixed economy, the government will try to *reduce income inequality by imposing the progressive tax system where higher income earners are taxed more proportionately than the lower income earners*. In this ways, the gap between the rich and the poor will be narrowed.
5. The government will also *control the existence of monopolies*. A monopolist is a single seller of a particular commodity who usually reduces his output to keep prices at artificially higher levels. In this ways, the consumer suffers and in order to avoid exploitation, the government needs to control and regulates the power of monopolist.

FACTORS OF PRODUCTION

1. Land (natural resources)
2. Labor (human factor)
3. Capital (man-made)
4. Entrepreneur (management)

The Concept of Production

Production can be defined as the act of making goods and services to satisfy human wants and to maximize profits. In Economics, production refers to:

1. manufacturing of goods
2. distributing the goods produced
3. providing services

Land

Land includes all resources found in the sea and on land. The range of natural resources will determine the capability of the economy to produce. In Economics, lands include:

1. raw materials such as copper, timber and rubber
2. landscape such as mountains, valleys and hill
3. port such as natural harbor
4. climatic conditions such as rain and snow
5. geographical location such as continents and islands

Characteristics

1. Land is said to be *immobile*.
2. Land is *limited in supply*; however, it can be reclaimed from the sea.
3. It is a *gift of nature*.
4. Land is *subjected to the law of diminishing returns*

Labor

In layman's term, labor refers to the unskilled. In Economics, *labor* can be defined as *any kind of work*, either mental or manual in nature, *which has the sole purpose of receiving rewards*. Thus any kind of labor which is for pleasure is not considered as labor in terms of Economics. According to Alfred Marshall, labor can be defined as any exertion that the mind or body has undergone, either partly or totally, with the view of earning some other good other than pleasure derived from the work itself.

Characteristics

1. A labor *offers* his services and not himself.
2. Labor cannot be separated from the worker i.e. it cannot be divorced from the person.
3. Labor services *cannot be kept or stored*.
4. Labor are human beings and are *not void of emotion*.
5. Labor has *greater mobility than land* but is less mobile than capital.
6. Labor is *not a homogeneous product* (as different people have different skills and attitudes).

Capital

Capital can be defined as *wealth used for production*. It is created not for itself but for what it will eventually produce. Capital therefore refers to the stock of goods made by the people to help them in the production of goods and services. It is a means towards an end by itself. Note that all capital is wealth but not all wealth is capital.

Types

1. **Working capital** can be defined as the *stock of goods that vary with the level of output*. When output increases, the amount of working capital also increase. When output is zero, the amount of working capital is also be zero. It is sometimes known as variable factor, prime factor or direct factor. Goods produced but unsold are also considered as working capital (e.g. raw materials, components, semi-finished product, etc.).
2. **Fixed capital** can be defined as *physical asset or durables which do not vary as the level of output varies*. Even if output is zero, fixed capital has to be incurred and its form will not change in the process of production. It is sometimes known as supplementary factor, indirect factor or overhead factor. Examples include factory, machinery, management and utilities.
3. **Social capital** is not directly related to the production of goods and services. It is meant to increase the productivity of the workers in the general, i.e. the labor force in the country. Social capital is usually provided by the government. These include educational, medical housing and recreational facilities.

The Entrepreneur

The *entrepreneur* is usually the *organizer in a company*. He is responsible for arranging how production should take place. He is also responsible for his subordinates and their welfare. The entrepreneur will *solve the three basic economic problems*, i.e. what, how and for whom to produce. He is unique as he coordinates all the factors of production to produced goods and services. Some economists regard management as the entrepreneur.

Function

1. He *undertakes risks* and is responsible for *all decisions* that need to be taken. There are two types of risks — insurable and uninsurable risks.
 - (a) *Insurable risks* such as fire, theft, etc. are risks where the insurance company will pay for part of the damage.
 - (b) *Non-insurable risks* are also called uncertainties. No insurance company will bear such costs. For instance, due to the changes in the economic

conditions, the demand for the product will fall and the goods will be unsold. This would lead him to bankruptcy. Such changes include changes in taste and fashion which are unpredictable.

2. He *coordinates the factors of production* (land, labor and capital) in the best possible combination so as to maximize profits and minimize costs. He will utilize the cheapest factor of production, be it labor or capital-intensive.
3. The *decision to recruit or retrench workers* will be made by him depending on market conditions. He uses his own criteria in selecting new workers. He is also responsible for *training and retraining* them. If he finds some of his workers are inefficient, it is up to him to *dismiss* them.
4. He also responsible for *marketing his product*. The entrepreneur will take the three steps in marketing his products:
 - (a) He will use different media and different methods to promote his product.
 - (b) He will ensure that the distribution channels, such as retailers, are available in different locations.
 - (c) He will conduct surveys and organizing sales promotions especially if the product is new.
5. He will *undertake research and development* (R&D). he will innovate and invent new products as well as new methods of production to keep pace with modern developments. As far as possible, he will try to be more competitive than his rival firms. The more innovative the entrepreneur is, the higher the rewards to his efforts, i.e. profits, would be.

DEMAND AND SUPPLY AND PRICE DETERMINATION

DEFINITION OF DEMAND

Demand can be defined as the *desire to buy foods and services with the ability to pay*, and the consumer must have the purchasing power. Simply, demand implies the willingness and the ability to pay for goods and services. Demand in this context would refer to effective demand.

THE INDIVIDUAL DEMAND SCHEDULE

The *individual demand schedule* refers to a list of quantity demanded at varying prices. It is an *indication of individual preferences*. From this schedule, we can plot the individual demand curve. Refer to Table 3.1 and Figure 3.1.

Table showing individual demand schedule.

Prices (P)	Quantity demanded (units)
1.00	2
0.80	4
0.60	6
0.40	8
0.20	10

THE LAW OF DEMAND

The *law of demand* states that *when price increases, the amount demanded will fall and when price decreases, the amount demanded will rise*. From this, we can say that there is an inverse relationship between the amount demanded and the price of the commodity concerned.

increase in the price of coffee will lead to an increase in the demand for tea since coffee is more expensive than tea.

5. **Advertisements.** Advertised goods generally have higher demand. Designer jeans have high demand partly because of the constant drill of status consciousness in the minds of the consumer by the advertisers.
6. **Introduction of new products.** With the extensive and intensive research and development done in the business world, new products and innovative products keep entering the market. Products like compact discs, cordless irons, cellular phones with camera, wide screen flat television, and many other modern gadgets have increased the demand for such products.
7. **Social and economic conditions.** In times of war, the demand for food and weaponry will increase. Such social conditions will influence demand. When there is recession in the economy (e.g. Philippines in 1997), the market demand for goods and services will fall.
8. **Festive seasons.** Different products will be demanded at the different festive seasons. A Christmas, products such as Christmas trees, novelty gifts and other goods and services that have something to do with Christmas, will be highly demanded: In the Philippines the traditional puto-bumbong and bibingka will be in great demand. Similarly, the Chinese will demand mandarin oranges, pussy willows, melon seeds and other products to heighten the Chinese New Year Spirit.
9. **Speculation.** Speculation will also influence demand. If one speculates that the price of rice will increase in the very near future, then he will buy more rice now to avoid paying more for the good later. This factor plays a vital role in the stock-market.
10. **Price of the product itself.** According to the law of demand, the higher the price, the lower will be the quantity demanded and the lower the price, the higher will be the quantity demanded.

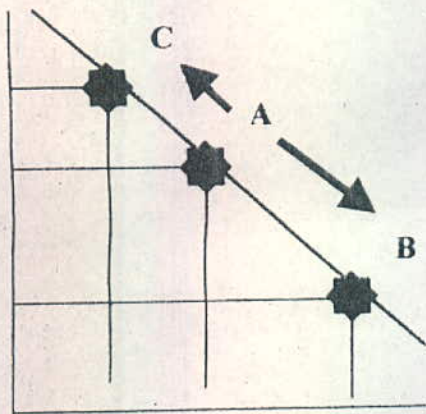
DIFFERENCES BETWEEN THE CHANGE IN QUANTITY DEMANDED AND THE CHANGE IN DEMAND

Change in Quantity demanded (Q_d)

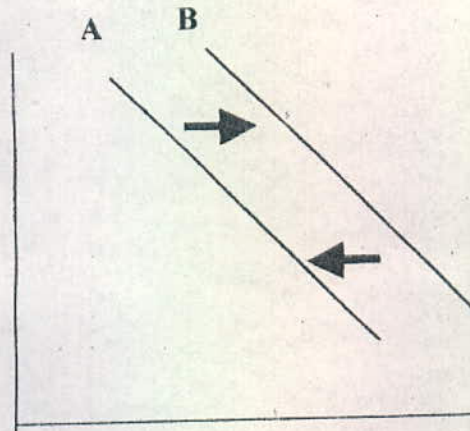
1. This is caused by a change in the commodity's own price alone, *ceteris paribus*. When price is at P_0 , the quantity demanded would be Q_0 . When price rises to P_1 , the quantity demanded would fall to Q_1 and when price rises to P_2 , the quantity demanded would fall to Q_2 .
2. There is movement along the demand curve and not a shift of it. An upward movement along the curve would mean a fall in the quantity demanded and a downward movement along the curve means a rise in the quantity demanded.
3. Sometimes, the word *expansion of demand* will be used to show an increase in the amount demanded. A *contraction of demand* would refer to a fall in the quantity demanded

Change in demand

1. This is caused by other factors and not by price. For example, when the population rises, demand will rise to Q_1 . Note that price is still at P_1 . The increase in demand is represented by the new demand curve D_1 or D_2 .
2. There is a shift in the demand curve (from D_0 to D_1 or D_2). When income increases, the curve would shift to the right (i.e. an increase in demand). Conversely, when income falls, the demand curve would shift to the left (i.e. fall in the demand).
3. To indicate the changes of demand, the words used are *increase and decrease*.



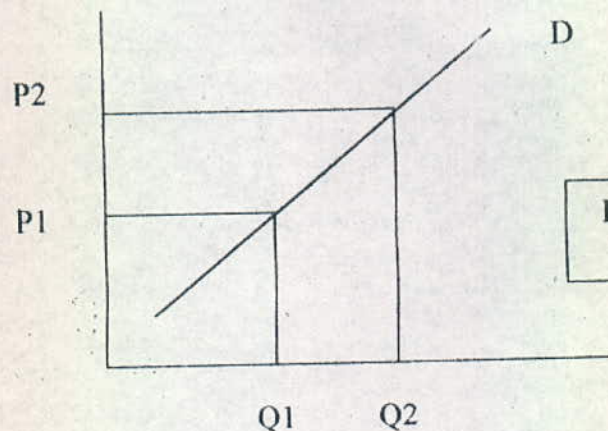
CHANGE IN QUANTITY
DEMANDED



CHANGE IN DEMAND

THE EXCEPTIONAL DEMAND CURVE

1. The normal demand curve shows that when price increases, the amount or quantity demanded would fall and when price decreases, the quantity demanded will rise.
2. However, there is an exception to this law. This occurs when a price increase leads to an increase in the quantity demanded and similarly when the price decreases, the quantity demanded will also fall.



EXCEPTIONAL DEMAND
CURVE

Conditions under which the exceptional demand would work

1. **Giffen goods** are normally of poor quality and they constitute a large part of the poor man's expenditure. Examples of Giffen goods are potatoes, salted fish, and broken rice.
2. During **festive seasons**, the prices of goods will increase as the demand for them also increases because it is part of the traditional celebrations.
3. **Goods with snob appeal or ostentatious goods** like expensive jewelry items and Rolls Royce cars are goods of conspicuous consumption where price is accepted as an index of quality and social status. The more expensive they are, the higher is the demand for them. When their prices fall, they will be considered as cheap stuff. Thus, in this case, when prices fall, the quantity demanded will also fall and vice versa. Other examples would include vintage cars, antiques and paintings.
4. **When we relate price to quality**, we generally have a common notion that expensive goods are of better quality. These goods include designer jeans, shirts and textiles. When prices are higher, the quantity demanded will rise because consumers feel that they are paying for better quality and that it is worth the price paid. Such actions will bring about the exceptional demand. This effect is known as the **Veblen effect**. It is a phenomena where as the price of a good falls, some consumers construe this as a reduction in the quality of the good.
5. In an **emergency situation**, prices of goods, especially basic necessities, will rise but the demand for them will also increase. This is because survival is at stake. No matter

- how expensive these goods are, there will be demand for them. These goods include canned food, salt, rice and sugar.
6. In **speculation**, one may buy more of a good when the price begins to rise because of the belief that it will rise further in the near future. A consumer may turn price speculator. For instance, recently in Malaysia, when the prices of rice and sugar rose slightly, housewives increased their demand and purchases to store them for the day when their price could be expected to be much higher. This situation thus brings about the exceptional demand. Speculators in the stock exchange market also follow the rules of exceptional demand.
 7. **Inflation** can be simply defined as a situation where there is a *large* quantity of money 'chasing' after too few goods, i.e. it is a situation of inordinate, sustained increase in the general price level. Owing to the shortage of goods, their prices will rise but the demand for them will also rise because people have the money to pay for them. The situation is reversed in times of deflation.

RELATED DEMAND

COMPLEMENTARY DEMAND (JOINT DEMAND)

Complimentary goods are goods that are *demanded together* to fulfill one's satisfaction. For example, when there is an increase in the demand for good X, the demand for good Y will also increase. Examples of such goods are car and petrol, calculator and batteries, bread and butter, mechanical pencil and lead, typewriter and typing paper, etc.

COMPETITIVE DEMAND

Competitive goods are goods that can be *substituted for one another*. For example, an increase in the demand for good X will lead to a fall in the demand for good Y. Examples of such substitutes are butter and margarine, spectacles and contact lenses, tea and coffee, plastic cup and paper cup, *Pepsi* and *Coke* (in terms of brand names), etc.

DERIVED DEMAND

These *goods* are *demanded* not for what they are but to help in the production process (i.e. production of other goods). They are means towards an end but not an end in themselves. All factors of production, namely, land, labor, capital and entrepreneurship are derived demand. Other examples would include timber for furniture, bricks for housing, wood for paper, cotton for shirts, rubber for tires, etc.

COMPOSITE DEMAND

These goods are demanded because they have alternative uses. In other words, the goods would have multiple purposes. Examples of such goods are rubber and water, rubber is used for manufacturing tires, rubber hoses, shoes, toys and many other products. Water is used for drinking, bathing, swimming and other purposes.

SUPPLY

Supply can be defined as the *quantity of any good and service offered for sale at a given price over a period of time in a given market*.

LAW OF SUPPLY

The *law of supply* states that as *price increases, the quantity supplied will also increase and conversely, when price falls, the quantity supplied will fall*.

This individual supply schedule

Price (Php)	Quantity Supplied (units)
0.20	20
0.40	40
0.60	60
0.80	80
1.00	100

Table showing the individual supply schedule.

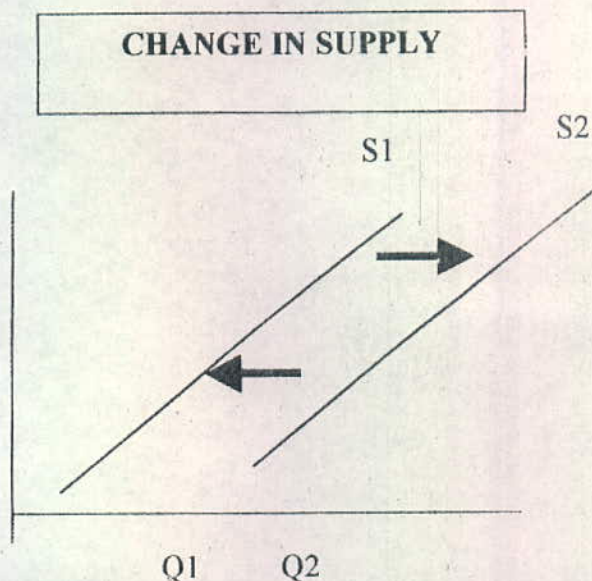
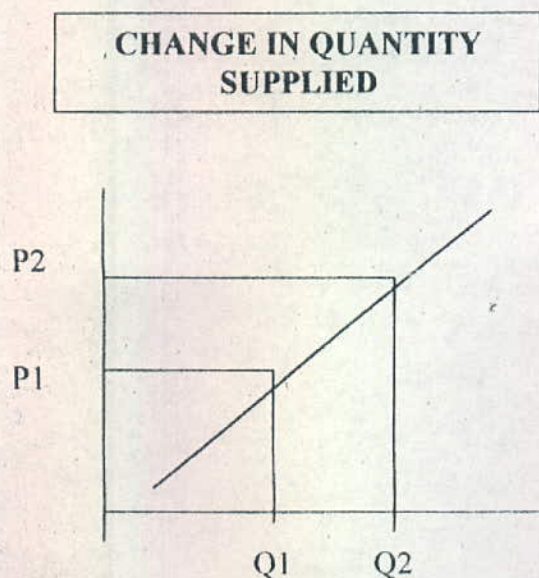
The supply schedule shows the amount supplied at different prices. The supply curve is upward sloping and the relationship between the quantity supplied and the price of the commodity is positive, i.e. when price increases, the quantity supplied also rises. The market supply curve can be derived by adding up the individual supply curve in a given market through a process called *horizontal summation*.

FACTORS AFFECTING SUPPLY

1. **Climatic conditions**, especially in the agricultural and mining industry, and fishing industry. When there is a storm, rain, flood, etc., the supply of goods will be directly affected.
2. **Cost of production**. For example, when wages of workers increase, the cost of production will increase and thus supply will decrease.
3. **Technological advancement**. When machinery is employed like computers, laser beams, i.e., higher technology, supply will increase.
4. **Government policies**:
 - (i) **Taxes**. When goods are taxed, the supply will fall. Taxes act as disincentives to producers because part of their profits is eroded.
 - (ii) **Subsidies**. When the government subsidizes production, supply of that good will increase. With subsidies, cost of production will be cheaper and this in turn will generate more profits. Being motivated by profits, the producer will supply more goods and services.
5. **Time period**. For example, the rubber trees take about seven years to mature and cotton takes about four years. The time period therefore affects supply.
6. **Price of related goods**:
 - (i) **Competitive supply**. When price of gas increases, the supply of electricity will fall (because the supply of gas increases).
 - (ii) **Joint supply**. When the supply of meat increases, the supply of hide will also increase.
7. **Price of good itself**. When the price of good increases, the amount supplied will increase. Similarly, when the price of the good falls, the quantity supplied will also fall.

RELATED SUPPLY

1. **Joint supply**. The supply of one good will automatically increase the supply of another good, e.g. hide and mutton.
2. **Competitive supply**. An increase in the supply of one product will bring about a reduction in the supply of another good. For example, if heat is supplied by gas, then the supply of coal will fall.



SUPPLY AND DEMAND TOGETHER

- **Equilibrium** refers to a situation in which the price has reached the level where quantity supplied equals quantity demanded.

Equilibrium Price vs. Equilibrium Quantity

- **Equilibrium Price**
 - The price that balances quantity supplied and quantity demanded
 - On the graph, it is the price at which the supply and demand curve intersect.
- **Equilibrium Quantity**
 - The quantity supplied and the quantity demanded at the equilibrium price
 - On the graph, it is the quantity at which the supply and demand curves intersect.

Equilibrium

Surplus

- When price > equilibrium price, then quantity supplied > quantity demand.
- There is excess supply or a surplus.
- Suppliers will lower the price to increase sales, thereby moving toward equilibrium.

Shortage

- When the price < equilibrium price, then quantity demanded > the quantity supplied.
- There is excess demand or a shortage.
- Suppliers will raise the price due to too many buyers chasing too few goods, thereby moving toward equilibrium.

Three Steps to Analyzing Change in Equilibrium

- Decide whether the event shifts the supply or demand curve (or both).
- Decide whether the curve(s) shift(s) to the left or to the right.
- Use supply-and-demand diagram to see how the shift affects equilibrium price and quantity.
- Example: **A Heat Wave**

WHAT HAPPENS TO PRICE AND QUANTITY WHEN SUPPLY OR DEMAND SHIFTS?

	NO CHANGE IN SUPPLY	AN INCREASE IN SUPPLY	A DECREASE IN SUPPLY
NO CHANGE IN DEMAND	PRICE – SAME	PRICE - DOWN	PRICE – UP
	QUANTITY - SAME	QUANTITY - UP	QUANTITY - DOWN
AN INCREASE IN DEMAND	PRICE – UP	PRICE – AMBIGUOUS	PRICE – UP
	QUANTITY – UP	QUANTITY – UP	QUANTITY – AMBIGUOUS
A DECREASE IN DEMAND	PRICE – DOWN	PRICE – DOWN	PRICE – AMBIGUOUS
	QUANTITY - DOWN	QUANTITY - AMBIGUOUS	QUANTITY - DOWN

MARKET STRUCTURES

Broadly, the types of market structure can be classified according to the number of firms in the industry and the types of product produced. Markets with homogenous products are called perfect markets and those with differentiated products are called imperfect markets. Table showing a summary of market structures.

Table Comparing Market Structures

Market structure	Number of sellers	Unrestricted entry and exit	Ability to set price	Long-run economic profits possible	Product differentiation	Examples
Perfect competition	Numerous	Yes	None	No	None	Agriculture
Monopolistic competition	Many	Yes	Some	No	Considerable	Toothpaste, toilet paper, soap, retail trade
Oligopoly	Few	Partial	Some	Yes	Frequently	Automobile, steel
Pure monopoly	One	No	Considerable	Yes	The product is unique	Electric company, telephone company

PERFECT COMPETITION

Characteristics

1. There are many buyers in the market but they cannot control prices. Price is fixed in the market through the forces of demand and supply, i.e. buyers and sellers acting in concert. No matter how much has been purchased, price is always constant. Buyers are said to be price takers.
2. There are many sellers in the market. Like the buyers, they too cannot control price. They are also price takers. The sellers are usually small firms. Price is determined at say, Php10, where goods will be bought. If the seller offers a lower price, then he will incur a loss, if he sells at a higher price, there will be no demand. In other words, he is powerless in determining price but he can set the quantity he wants to sell.
3. The goods are *homogenous* and not differentiated. They are identical. The consumer cannot differentiate whether the good comes from producer A or B or C. Advertising is totally absent in this market.
4. There must be free entry to and exit from the market. If the industry is making profits, then new firms will enter the market. If the industry is making losses, then new firms will exit the market. No restriction is imposed. All the four characteristics represent pure competition but for perfect competition to exist, five other characteristics must be present.
5. Both the consumers and the producers have perfect knowledge about the market situation, i.e. they know the prevailing prices in all markets.
6. There must be *mobility of factors of production*. This means that factors of production are mobile. There are no barriers to mobility. As for land, it must have alternative uses.
7. There must be no transport costs. It is assumed that all firms are situated close to one another and are very close to the market.
8. There must be independence in decision making. There will be no external forces that will influence the decision of buyers and sellers, i.e. they make own decisions.
9. There is no preferential treatment. All buyers and sellers are treated equally.

MONOPOLY

Monopoly → Oligopoly → Monopolistic → Perfect
 Competition Competition
(one seller) (few seller) (many sellers) (numerous sellers)

Characteristics

1. There is only one single seller but two types of monopoly.
 - (a) Natural monopoly, e.g. Philippine National Railways (PNR), National Power Corporation (NAPOCOR)
 - (b) Private Monopoly, e.g. MERALCO
2. Many buyers are available.
3. There are barriers to entry.
4. The product does not have close substitutes. For example, there is presently no close substitute for *China Post*, the only Chinese Newspaper in Philippines.
5. An important assumption is that the monopolist can only control price or quantity but not both, i.e. price may increase or decrease but quantity is constant. This is an important theoretical assumption.

BARRIERS TO ENTRY

These refer to the restrictions imposed by the existing firms in the industry in blocking the entry of new rival firms. These restrictions place the entrants at a cost disadvantage relative to established firms.

1. **"Cut throat competition"**. The monopolist will undercut price so that the rival firm will not be able to compete at all. The new firm will not be able to lower its price as otherwise it will be running at a loss.
2. **Existence of patent and copyright**. Through legislation whereby the rights of the products have to be protected, e.g. book publishers and record producers. They would have the right to produce these goods. Infringement of the law is an offense. Examples would include IBM Computers, Microsoft Products, etc.
3. **Control of marketing channels**. If the monopolist controls the distribution agents, then rival firms would have difficulty in trying to reach the consumers, e.g. newspaper vendors, retailers, etc.
4. **Granting of special license and franchise**. Special privileges are granted to certain firms to carry out certain activities, e.g. Timber License to certain companies whose business' primary raw material is wood, Franchising of certain food chains like Jollibee, McDonalds, Wendy's, etc.
5. **Economies of Scale**. For some industries, there is room for the production of one single firm only. This usually relates to the firm where the fixed cost is very high, e.g. Manila Electric Company (MERALCO), Philippine Long Distance Company (PLDT) during the Marcos era, North and South Luzon Expressways (NLEX and SLEX), Metro Rail Transit (MRT) If a number of rival firms provide these services, there will be unnecessary wastage and duplication.
6. **High initial cost**. To set up a large firm, a substantial amount of money is needed, and not many people would have the money. It is also difficult to borrow such large sum from banks or financial agents because of the high risks involved, e.g. setting up a newspaper with a worldwide distribution, setting up a mass transportation system.
7. **Legal prohibition**. In some countries, competition is not allowed and this is set by the government through a certain set of regulations.
8. **Ownership of certain raw material**. The monopolist may own all the deposits of some mineral resources or control all or part of the country's or regions mineral deposits. Examples of companies with such monopolistic nature are the International Nickel Company and the diamond producer, De Beers of South Africa, which owns a large portion of diamond deposits there.
9. **Climatic conditions**. Certain climatic conditions favor certain types of agricultural products and not others. This leads to monopolistic power, e.g. Malaysia for rubber and palm oil; Ghana for cocoa; Brazil for coffee, etc.

10. **Government Intervention.** Marketing boards with the help of the government could be the sole seller of a particular product like LTRFB (Land Transportation and Franchising Regulatory Board, PRC (Philippine Regulations Commission, etc.

MONOPOLISTIC COMPETITION

Characteristics

1. There are many buyers.
2. There are many sellers but not as many as in perfect competition.
3. Products are differential either physically or psychologically or both. There are brand names such as *Tide*, *Surf*, and *Breeze*.
4. There is ease of entry and exit, but not as easy as in perfect competition.
5. non-price competition like advertisements, sales promotions, free gifts, services rendered, packaging, price leadership and collusion (agreement) exist.
6. No perfect knowledge is assumed.
7. One producer can lower his price without affecting other firms.

OLIGOPOLY

Characteristics

1. There are many buyers in the market.
2. '*Oligos*' is a Greek word meaning 'few'. Therefore, Oligopoly means few sellers. Take, for example, petroleum companies, namely, Petron, Shell, Caltex, etc. in the case where there are only two sellers, it is termed duopoly.
3. The products sold can be homogenous in the case of pure oligopoly or differentiated as in the case of imperfect oligopoly.
4. Barriers to entry exist but these are not as restrictive as in monopoly.
5. One very distinct characteristic of oligopoly is *interdependency*. The pricing and output policy of one firm is dependent on the pricing and output policies of other firms.
6. There are several ways in which price can be determined:
 - (a) *price leadership*, e.g. among the petroleum companies, *Shell* is the leader and the other firms will follow suit;
 - (b) *dominant firm*, e.g. Robinson is the most dominant firm among all the major retail stores here;
 - (c) *collusion* – this refers to an agreement (formal and informal) among the producers to decide the price and output level, both of which are fixed. This is sometimes called as tacit agreement;
 - (d) *cartel*, e.g. OPEC, whereby the organization fixes the minimum and maximum price so as to avoid unnecessary competition.
7. The oligopolistic firm is faced with kinked demand curve. The average revenue or demand curve of the oligopolist is said to be kinked. This is because the oligopolist will sell at output Q. Rival firms will not match the increase in price because the fall in quantity demanded will be greater than the increase in price.

Any reduction in the price of the oligopolist will be matched by reductions by other firms. For example, the price reduction *Shell* has taken will lead to *Caltex*, *Petron*, *Unioil*, etc. reducing their prices correspondingly. Hence, the demand is inelastic. The fall in price will be accompanied by only a slight increase in the quantity demanded.

The kinked demand curve will lead to price rigidity. This explains why price usually remains unchanged for a long period of time. Because of the unusual average revenue curve, the marginal revenue curve will be a discontinuous line and even though marginal cost may increase or decrease, marginal cost is still equal to marginal revenue at the same level of output.

II. TAXATION

Importance of taxation

Of the three inherent powers underlying state existence, namely: police power (power inherent in a government to enact laws, within constitutional limits, to promote the order, safety, health, morals, and general welfare of society), eminent domain (the right of the state, as a sovereign to take or expropriate private property for public use upon the payment of just

compensation), and taxation, taxation is of primary importance to the state. For the reason that before police power and eminent domain can be effectively and permanently exercised, it is necessary to have a government to which the people render habitual obedience. Without taxation, the state cannot raise revenue to pay for governmental expenses. Hence, there would be no government.

Meaning

- { It is an inherent power of the state to impose and collect revenues to defray the necessary expenses of the government.
- { It is a compulsory contribution imposed by a public authority irrespective of the amount of services rendered to the payer in return. (Dalton)
- { It is a compulsory levy on private individuals and organizations by the government to raise revenue to finance expenditure on public goods and services. (Pearce)

Limitations on the power of taxation

1. The inherent limitations; those which by their nature are intrinsic thereto or inseparable there therewith and
2. The constitutional limitations; are those expressly stated in the 1987 Constitution.

Inherent Limitations on Taxation

1. The tax must be for a public purpose
2. Either the person, property, or interest taxed must be within the jurisdiction of the taxing authority
3. The rule of taxation must be uniform;
4. In the assessment and collection of certain kind of taxes, certain guaranties against injustice to individuals, especially by way of notice and opportunity for hearing, must be provided

Constitutional Limitations on Taxation

1. No person shall be deprived of life, liberty, or property without due process of law, nor shall any person be denied the equal protection of the law.
2. No person shall be imprisoned for debt or non-payment of a poll tax
3. The rule of taxation shall be uniform and equitable. The Congress evolve a progressive system of taxation
4. The Congress may by law authorize the President to fix within specified limits, and subject to such limitations and restrictions as it may impose, tariff rates, import and export quotas, tonnage and wharfage dues, and other duties or imposts; within the forward of the national development progress of the government.
5. Charitable institutions, churches, parsonages, or convents appurtenant thereto, mosques, and non-profit cemeteries, and all lands, buildings; and improvements actually, directly, and exclusively used for religious or charitable purposes shall be exempt from taxation.
6. NO law granting any tax exemption shall be passed without the concurrence of a majority of all the Members of Congress.
7. Each local government unit shall have the powers to create its own sources of revenue and to levy taxes, subject to such limitations congress may provide consistent with the basic policy of local autonomy.
8. All money collected on a tax for a special purpose shall be treated as a special fund and paid for such purpose only.

Purpose of Taxation

1. To collect revenue for the government.
2. To redistribute Income
3. To Combat Inflation
4. To correct an adverse balance of payments
5. To check consumption of goods which are considered undesirable
6. To protect local/infant industries

7. To influence population trends
8. To improve unfavorable terms of trade
9. To reallocate resources
10. To create a sense of identity

Sources and Origin of Taxation

1. The Constitution
2. Statutes or Presidential Decrees
3. Bureau of Internal Revenue regulations
4. Judicial Decisions
5. Provincial, City, Municipal and Barrio Ordinances
6. Observance of International Agreements
7. Administrative Rulings and Opinions

Objects of Taxation

1. Persons – whether natural or judicial
2. Property of any kind
3. Transactions, interest and privileges

Classification of Tax System

1. Progressive Income tax – the higher the income, the higher the tax rate.
2. Proportional Tax – the tax rate is constant and unaffected by the level of income.
3. Regressive Tax – the higher the income, the lower the tax rate.

Classification of Taxes

1. As to subject matter
 - a) Personal, capitation or poll tax
 - b) Property tax; and
 - c) Excise Tax
2. As to who bears the burden
 - a) Direct; or
 - b) Indirect
3. As to determination of amount
 - a) Specific; or
 - b) Ad valorem
4. As to purpose
 - a) General; or
 - b) Special
5. As to scope
 - a) National; or
 - b) Local

Types of Taxes

A. Direct Taxes

- The burden cannot be shifted to the third party
- Direct taxes are based on income and wealth
- In most cases, direct taxes are progressive in nature
- Direct taxes are compulsory in nature

Examples:

- | | |
|-------------------|--------------------------------|
| a. income tax | d. immigration tax |
| b. residence tax | e. estate/gift/inheritance tax |
| c. real state tax | |

B. Indirect taxes

- The tax burden can be shifted to the third party
- Indirect taxes are based on expenditure and consumption
- All indirect taxes are regressive in nature
- Indirect taxes are optional in the sense that they can be avoided.

Examples:

- a. sales tax
- b. import tax
- c. VAT / EVAT

Characteristic of a Sound Tax System

1. **Efficiency** – must generate revenues greater than the amount of money the government must spend to collect taxes.
2. **Equity** – individuals and groups belonging to the same income bracket must be taxed equally while those belonging to different income groups must be taxed differently.
3. **Convenience** – to set up measures and procedures that will make it more convenient for taxpayers to pay.
4. **Stability** – tax system must not be too often or it will encourage taxpayers to withhold tax payments until a more preferred system is put in place.

III. LAND REFORM

Legal Bases of land Reform

- { 1963 Land Reform Code which took effect during the time of Pres. Diosdado Macapagal converting the tenancy relations to leasehold relations.
- { Presidential Decree No. 27 which took effect during the time of Pres. Ferdinand Marcos providing for the farmer tenants to be amortizing owners. This decree was to private agricultural lands primarily devoted to rice and corn under the system of share crop or lease tenancy. It conveyed ownership to the tenant farmer with a family size farm of 5 hectares of un-irrigated land and 3 hectares if irrigated.
- { In any case, the land owner may retain an area of not more than 7 hectares 'if such land owner is cultivating such area or will start cultivating it.' for purposes of valuation, multiply the average harvest of 3 normal crop years immediately preceding the promulgation of the decree, and the total cost of the land was with 6% annual interest rate, to be paid in 15 years or fifteen equal amortization.

Agrarian Reform

Republic Act No. 6657 – The Comprehensive Agrarian Reform Law of 1988 which was signed into law by Pres. Corazon Aquino

Agrarian Reform - The redistribution of lands, regardless of crops or fruits produced to farmers and regular farmworkers who are landless, irrespective of tenurial arrangement, to include the totality of factors and support services designed to lift this economic status of the beneficiaries and all other arrangements alternative to physical redistribution of lands, such as production, profit sharing, labor administration, and the distribution of shares of stock, which will allow beneficiaries to receive a just share of the fruits of the land they work.

Principles of Agrarian Reform

The policy of the state to pursue a Comprehensive Agrarian Reform program (CARP) to:

1. To promote social justice
2. To move the nation toward sound rural development and industrialization
3. To establish owner-cultivatorship of economic sized farms as basis of Philippine agriculture.

Coverage of CARP

1. All alienable and disposable lands of the public domain devoted to or suitable for agriculture.
2. All lands of the public domain in excess of the specific limits as determined by the Congress;
3. All other lands owned by the government devoted to or suitable for agriculture
4. All private lands devoted to or suitable for agriculture regardless of the agricultural products raised or that can be raised.

Retention Limits

1. Five hectares for landowner
2. Three hectares to be awarded to each child of the landowner subject to the following qualifications:
 - a. at least 15 years old
 - b. actually tilling the soil or directly managing the farm

Beneficiaries

1. agricultural lessees and share tenants
2. regular farmworkers
3. seasonal farmworkers
4. other farmworkers
5. actual tillers or occupants of public lands
6. collectives or cooperatives
7. other directly working on the land

Salient Features of CARP

1. CARP covers all agricultural lands and not only those devoted to rice and corn.
2. CARP covers not only those privately owned tenanted lands but also that of agricultural lands owned by Multinational Corporations and commercial farms.
3. Lower retention limits of three hectares.
4. Rights of Indigenous communities, to their ancestral lands are protected to ensure their economic, social and cultural well being.
5. In determining just compensation, the cost of acquisition of the land, the current value of like properties, its nature, actual use and income, the sworn valuation of the owner, the tax declarations and the assessment made by the government assessors shall be considered.
6. Lands awarded to beneficiaries shall be paid to the Land Bank of the Philippines in 30 annual amortization at six percent interest per annum.

IV. COOPERATIVES

Definition

A cooperative is:

- ☛ a free association of persons voluntarily joined together
- ☛ with common bond of interest
- ☛ legally constituted
- ☛ purpose of conducting an economic enterprise
- ☛ owned, controlled and administered democratically
- ☛ making equitable contributions to the capital required
- ☛ accepting a fair share of the risks and benefits
- ☛ organized in accordance with generally accepted principles

Universal Principles of Cooperativism

1. Open and Voluntary Membership
 - ☛ No artificial discrimination against individuals because of their race, creed or political affiliations, freedom of entry and exit of any member of the cooperative
2. Democratic Control
 - ☛ In order for members to gain entry to the cooperative, they must purchase shares of the cooperative, obtain the right to govern the organization, voting rights of the owners are on the basis of one person, one vote.
3. Limited Interest on capital
 - ☛ capital in a cooperative is like a loan because the owners of capital can expect to receive a rate of return not exceeding that of the prevailing market interest rates on investing.

4. Division of Net Surplus

net savings should be distributed as follows:

ITEM	% ALLOCATION
General Reserve Fund	At least 10%
Education/Training Fund	At least 10%
Optional Fund	At least 10%
Dividend/Patronage Refund	Remaining balance of saving

- General Reserve Fund – cover losses in operation
 - Education/Training Fund – for members and management trainings
 - Optional Fund – discretion of cooperatives for purposes of acquiring land construction of a building or community development.
 - Dividends/Patronage Refunds – the volume of transactions that members have with the cooperative
2. Continuing Membership Education
 - pre-membership education seminar as required for entry to the cooperative
 - special trainings for the cooperative leadership and members
 3. Cooperation Among Cooperatives
 - interlending and pooling of funds

Typologies of Cooperatives

1. According to Level of Cooperatives

- a. Primary - members of which are natural persons;
- b. Secondary- members of which are primaries; and
- c. Tertiary - members of which are secondary upward to one or more apex organizations.

2. According to Services Rendered

- a. *Credit* - is one which promotes thrift among its members and creates funds in order to grant loans for productive and provident purposes;
- b. *Consumer* - is one wherein the primary purpose is to procure and distribute commodities to members and non-members;
- c. *Producer* - is one which undertakes joint production whether agricultural or industrial;
- d. *Marketing Cooperative* - is one which engages in the supply of production inputs to members and in turn market their products;
- e. *Service* - is one which engages in medical and dental care, hospitalization, transportation, insurance, housing, labor, electricity, communications and other services.
- f. *Multi-purpose* - is one which combines two or more activities of these different types of cooperatives.

3. According to Scope of Membership

- a. Institutional – Members are employees of a specific institution or corporation
- b. Associational – Members are those who have their own enterprise and belong to specific sector or organization
- c. Community-Level – Members are based on a defined geographical area.

New Cooperative Law

- a. Cooperative Code of the Philippines (R A 6938)
- b. Cooperative Development Authority (R A 6939)
- c. Executive Order 95 and 96 were issued by Pres. Fidel Ramos in June 1993, providing for implementation guidelines for some of the provisions of the two vs. cited.

Cooperative Values

1. self-help
2. self-responsibility
3. democracy
4. equality
5. solidarity
6. equity
7. honesty
8. openness
9. social responsibility
10. caring for others

4. Which of the following describes marketing cooperatives?
- A. they distribute products of members to both members and non-members
 - B. they coordinate with other cooperatives in marketing the products of members
 - C. they undertake joint production of goods whether agricultural or industrial
 - D. they engage in the supply of production inputs to members and market their products

The correct answer is D.

Options A and B are not the best choices because they relate to processes of marketing, in general whether in cooperative or non-cooperative undertakings. Option C provides details for production of goods which deviates from the accurate description of marketing cooperatives. Option D is the most plausible answer since it defines the function of marketing cooperatives.

5. Which of the following is the primary objective of economics?
- A. to provide basic necessities to man
 - B. to satisfy human wants and needs
 - C. to provide exports to developing countries
 - D. to provide goods and services for the markets

The correct answer is B

Option A offers inconclusive ideas about economics devoid of clear indicators. Options C and D are obviously functions of economics in general but the question calls for its primordial objectives. Option B is the best choice because it is a direct and conclusive statement about the primary objective of economics.

- B 6. What does the law of demand state?
- A. As income increase, people consume more of all goods.
 - B. The demand for a goods increase with the number of consumers in the market.
 - C. As the price of good declines, consumers purchase more of that good.
 - D. The supply of a good increase in proportion to the demand for it.
- B 7. A demand curve shows the graphic relationship between which two variables?
- A. The price of a good and consumer's income
 - B. The price of a good and quantity of it purchased
 - C. Consumers' income and the quantity of a good purchased
 - D. The opportunity cost of a good and the quantity of it purchased
- C 8. What is the "income effect on demand"?
- A. When the price of a good increases, people can afford to buy less
 - B. When the price of a good increases, people switch to less expensive substitutes
 - C. When the price of a good increases, people switch to less expensive complements
 - D. When the price of a good increases, people's incomes tend to increase proportionately.
- C 9. What does the law of SUPPLY state?
- A. Producers supply goods in proportion to the demand for them
 - B. The supply of a good is a function of the resources available to produce it
 - C. As the price of a good increase, producers offer more of it for sale.
 - D. The supply of a good depends upon the number of people who wish to purchase it.
- B 10. Because of the "substitution" effect on demand, when the price of coffee increases:
- A. People will use less cream and sugar
 - B. People will be able to afford less coffee because their buying power has decreased
 - C. People will drink tea instead
 - D. Producers will use less costly coffee beans and other ingredients

- D 11. The supply schedule is a model of whose behavior?
A. Buyers and sellers
B. Households and firms
C. Buyers only
D. Sellers only
- A 12. The supply schedule shows the relationship between which two variables?
A. The price of a good and the quantity of that good offered for sale
B. The price of a good and the cost of that good's production
C. The quantity of a good offered for sale and the quantity that consumers wish to purchase
D. The price of a good and its opportunity cost
- A 13. According to the law of demand, price and quantity demanded:
A. Are inversely related
B. Are directly related
C. Are proportional to each other
D. Depend on one another at the equilibrium price
- X 14. The sum of individual demand schedule in a specific market is called the:
A. Aggregate demand schedule
B. Average demand schedule
C. Institutional demand schedule
D. Community demand schedule
- B 15. According to the law of supply, price and quantity supplied are:
A. Proportional to one another
B. Proportional to the quantity demanded
C. Influenced by income and the availability of substitutes
D. Directly related to one another
- C 16. It is the process or means by which the sovereign, through the law-making body, raise income to defray the necessary expenses of government.
A. Tax
B. Fee
C. Taxation
D. Police Power
- A 17. The enforced proportional contributions from persons and property
A. Tax
B. Fee
C. Taxation
D. All of the Above
- C 18. A sum of money which is paid for the use of a road, bridge and the like, of a public nature.
A. Tax
B. Penalty
C. Toll
D. Assessment
- D 19. It is any sanction imposed as a punishment for violations of law or acts deemed injurious.
A. Tax
B. Penalty
C. Assessment
D. Fee
- D 20. An enforced proportional contribution from owners of lands peculiarly benefited by public improvements.
A. Tax
B. Penalty
C. Fee
D. Assessment
- D 21. A charge imposed for purposes of regulation.
A. Tax
B. Penalty
C. Assessment
D. License
- C 22. A liability arising from a contract and maybe paid in kind.
A. License
B. Penalty
C. Debt
D. Assessment

8. In order for demand to exist, the desire for a product must be backed up by the ability to pay for it. What is this called?
- A. Community demand
 - B. Income demand
 - C. Effective demand
 - D. Money demand
9. The demand for bicycling equipment has increased tremendously during the early 1990's. This is an example of which determinant of demand?
- A. Taste and preferences
 - B. The price of substitute
 - C. The price of complements
 - D. Income
10. Which of the following is NOT a determinant of demand for tennis balls?
- A. Consumer's incomes
 - B. The price of tennis balls
 - C. The price of tennis rackets
 - D. The number of people who play tennis
11. Which of the following will cause the supply of microcomputers to increase?
- A. An increase in the price of inputs such as computer chips
 - B. An increase in the demand for computers
 - C. A decrease in the demand for mainframe computers
 - D. A decrease in taxes on the computer industry.
12. Which of the following will result in fewer U.S. cars being bought and sold in the Philippines at a higher price?
- A. A decrease in the number of imported automobiles
 - B. An increase in taxes on U.S. cars
 - C. Consumers preferring to buy other imported cars having less price
 - D. Consumers preferring to "buy Philippines".
13. Which of the following will lead to more output at lower prices?
- A. A decrease in supply
 - B. A decrease in demand
 - C. An increase in supply
 - D. An increase in demand
14. A decrease in the supply of lemons will result in which of the following?
- A. More lemons sold at higher price
 - B. More lemons sold at a lower price
 - C. Fewer lemons sold at a higher price
 - D. Fewer lemons sold at a lower price.
15. A "change in the quantity demanded" implies what?
- A. A shift of the demand curve
 - B. A change in the slope of the demand curve
 - C. A movement along the existing demand curve
 - D. An upward sloping demand curve.
16. A "change in demand" will result in which if the following?
- A. A shift of the demand curve
 - B. A change in the slope of the demand curve
 - C. A movement along the existing demand curve
 - D. An upward sloping demand curve.
17. The author of THE WEALTH OF NATIONS was:
- A. Ricardo
 - B. Galbraith
 - C. Marshall
 - D. Smith
18. Which of the following occurs when economic profits are negative in a purely competitive industry?
- A. Long-run equilibrium
 - B. Firms exit the industry
 - C. Firms enter the industry
 - D. Firms raise prices to increase profit levels.

19. In which of the following market structures does the firm have the LEAST influence on the prices it charges?
- A. Pure competition
 - B. Differentiated competition
 - C. Shared monopoly
 - D. Pure monopoly
20. What type of market structure exists in the computer software industry?
- A. Differentiated competition
 - B. Pure Competition
 - C. Shared monopoly
 - D. Pure monopoly
21. One of the major functions of taxes is to finance real government expenditures this can be simply stated as:
- A. to raise revenues
 - B. to secure economic price stability
 - C. to promote economic development
22. The policy of the State to pursue a Comprehensive Agrarian Reform Program is clearly stated in its policy to:
- A. promote human rights
 - B. establish owner-cultivator ship of economic size farms
 - C. move the nation toward sound urban development and industrialization
23. This is form of taxation that is collected from a taxpayer based only on his/her income or wealth.
- A. indirect tax
 - B. sacrifice tax
 - C. direct tax
24. The retention limit to be awarded to each child of the landowner is
- A. three hectares
 - B. 4 hectares
 - C. 5 hectares
25. Which of the following are not beneficiaries of the CARP?
- A. agricultural lessees and share tenants
 - B. seasonal farm workers
 - C. non-regular farm workers
26. It includes all revenues of the government – except the incomes of government owned and controlled corporations – coming from a private sector
- A. subsidy
 - B. taxation
 - C. expenditure
27. Demand is the desire or need of human beings to consume a good or avail of a service while _____ is the alternative quantities offered for sale of different prizes.
- A. elasticity
 - B. supply
 - C. equilibrium
28. The type of cooperative which promotes thrift among members and create funds in order to grant loans for productive and provident purposes is called
- A. credit cooperative
 - B. producers cooperative
 - C. Service cooperative
 - D. consumers cooperative



ANSWER KEY

PART II

1. B
2. C
3. B
4. D
5. B
6. C
7. B
8. B
9. C
10. C
11. D
12. A
13. A
14. A
15. D
16. C
17. A
18. C
19. B
20. D
21. D
22. C
23. B
24. C
25. A

PART III

1. B
2. B
3. C
4. D
5. B
6. B
7. A
8. C
9. A
10. B
11. D
12. B
13. C
14. C
15. C
16. A
17. D
18. B
19. A
20. A
21. A
22. B
23. C
24. A
25. C
26. B
27. B
28. A